strategy is required for running government schools, or contracting out the running of government schools, in underserved locations.

There are natural tensions between these three pillars. The people who do production of government schools would like to monopolize the funding, ask for weak regulation and raise entry barriers against non-government schools. This calls for strong separation between the three pillars.

Example 36: Skills

Increased skills induce positive externalities, and each individual is likely to underinvest in skilling. This motivates funding by the state. There is a market failure in the form of asymmetric information between the buyer and seller of skilling services. This motivates regulation. Finally, it is possible to have public sector production of skilling services. These three elements constitute clear verticals—regulating, financing, producing.

In India, state production is about running the Industrial Training Institutes (ITIs). Funding is about the flows of public money to private persons who add skills. Regulating is about ensuring high-quality training by all providers, public or private. This three-pillar thinking helps us organize the work in our minds, and encourages us to see the tensions within the three areas of work.

Example 37: Infrastructure

In the field of infrastructure, a useful classification is planning, contracting, regulating and producing. Planning pertains to the overall design required in both transportation and energy infrastructure. As an example, it is an act of planning to envision a container terminal at Nhava Sheva, and then the array of connections of roads and railways that have to be made to it. There